News Release
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S&P Global US Manufacturing PMI®

Manufacturing sector sustains marked growth in October and employment rises sharply, but inflationary pressures intensify

October 2026

Production and new orders increase albeit at slower rates

Price pressures intensify noticeably as supply-chain disruption persists

Jobs growth at five-and-a-half-year peak

The US manufacturing sector continued to expand markedly in October, albeit to a slightly softer degree. Output and new orders continued to rise, although headwinds remained apparent.

These were most notably related to input costs, with inflation at its highest since May and well-above trend, and supplier delivery times, which lengthened to the greatest degree since August 2022.

Nonetheless, firms retained sufficient confidence in the outlook to expand employment steeply, with growth the highest since April 2021.

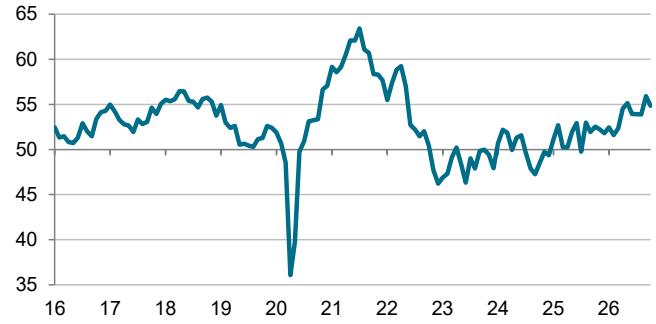
The seasonally adjusted S&P Global US Manufacturing Purchasing Managers' Index™ (PMI®) recorded 54.9 in October. Posting above the critical 50.0 no-change mark for a fifteenth successive month, the PMI signaled a further improvement in operating conditions. Growth was again also comfortably above trend, although by falling from September's 52-month high of 55.9, the headline index pointed to a slight softening of growth.

Rising levels of output and new orders continued to underpin the sector's expansion, although like the PMI, both registered slower growth rates compared to September. Production rose for the seventeenth successive month and was closely associated with an upturn in new orders. Although new work increased at the slowest rate since March, growth was still solid and supported by generally stronger market demand and a stabilization of international sales (new export business rose fractionally for the first time since June 2025 although tariffs limited gains). There remained some reports of clients seeking to secure orders and lock in prices given widespread inflationary pressures.

On the price front, input cost inflation surged higher in September, reaching its greatest level since May's near four-year high. Manufacturers widely reported that energy, fuel and transportation expenses had risen since September, and were key in driving up wider vendor prices. Tariffs also added to upward cost pressure, and metals like aluminum

S&P Global US Manufacturing PMI

Index, sa, >50 = improvement m/m



Data were collected 9-27 October 2026.
Source: S&P Global PMI. ©2026 S&P Global.

Comment

Chris Williamson, Chief Business Economist at S&P Global Market Intelligence:

"US factories continued to report strong expansion in October, sustaining the sector's best growth spell since early 2022. The upturn is also generating jobs at a pace not seen for five-and-a- half years, during the surge in demand seen during the pandemic.

"However, growing pains are clearly evident, with factories struggling to meet strong demand, especially for AI-related goods and equipment, amid supply chain disruptions. Delivery delays, often linked to shipping and logistics issues, are more widespread than at any time since 2022.

"With demand often exceeding supply, producers have been increasingly able to pass higher costs on to customers, notably for energy-related inputs. October consequently saw another leg-up in terms of manufacturers' selling price inflation to the steepest since September 2022. Such steep growth in factory gate prices will inevitably feed through to consumers in the coming months, keeping inflation well above the Fed's target and adding to pressure on policymakers to raise interest rates further."

PMI® by S&P Global

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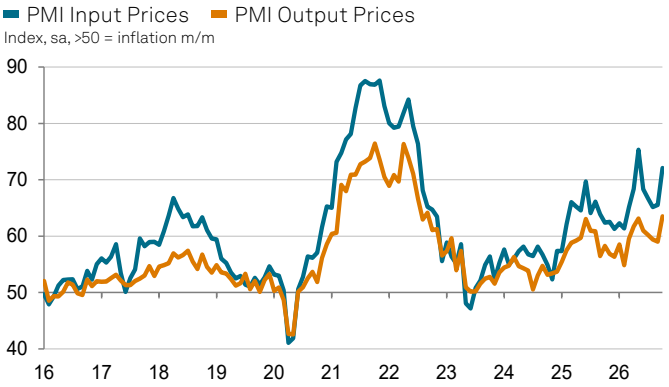
and steel were again reported to have risen in price. Faced with another atypical increase in input costs, many manufacturers saw little choice but to increase their own charges in October. Output price inflation overall picked up and was the highest since September 2022.

The short supply of inputs was another source of inflationary pressure. Vendors were widely reported to be struggling to keep up with demand, especially for any products related to AI data center build outs, whilst simultaneously dealing with tariffs and the disruption caused to supply chains by the conflict in the Middle East. Subsequently, average lead times for the delivery of inputs deteriorated to the greatest degree since August 2022 and at a historically elevated pace.

With production and new order book requirements continuing to increase, manufacturers raised their purchasing activity. It was the tenth successive month in which buying has increased, with growth again marked as firms sought to secure stock and present prices wherever possible. Manufacturers also added to their input inventories, with modest growth recorded for a seventh successive month.

Delays in the delivery of certain inputs added to the pressure on plant capacity caused by rising new orders in October. Backlogs of work overall increased for an eighth successive month, with the latest net increase the steepest since April's near four-year peak. In response, manufacturers added to their staffing levels at a historically strong pace. Overall, growth in payroll numbers was the steepest in five-and-a-half years.

Looking ahead to the next 12 months, manufacturers are confident of a rise in production levels, with sentiment overall picking up from September to a level broadly in line with its trend. Firms signaled positive business expansion plans and are hopeful of a pick-up in market demand despite some ongoing headwinds related to tariffs and broader global economic uncertainty.



Source: S&P Global PMI. ©2026 S&P Global.

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Methodology

The S&P Global US Manufacturing PMI® is compiled by S&P Global from responses to questionnaires sent to purchasing managers in a panel of around 600 manufacturers. The panel is stratified by detailed sector and company workforce size, based on contributions to GDP. Data collection began in May 2007.

Survey responses are collected in the second half of each month and indicate the direction of change compared to the previous month. A diffusion index is calculated for each survey variable. The index is the sum of the percentage of 'higher' responses and half the percentage of 'unchanged' responses. The indices vary between 0 and 100, with a reading above 50 indicating an overall increase compared to the previous month, and below 50 an overall decrease. The indices are then seasonally adjusted.

The headline figure is the Purchasing Managers' Index™ (PMI). The PMI is a weighted average of the following five indices: New Orders (30%), Output (25%), Employment (20%), Suppliers' Delivery Times (15%) and Stocks of Purchases (10%). For the PMI calculation the Suppliers' Delivery Times Index is inverted so that it moves in a comparable direction to the other indices.

Underlying survey data are not revised after publication, but seasonal adjustment factors may be revised from time to time as appropriate which will affect the seasonally adjusted data series.

For further information on the PMI survey methodology, please contact economics@spglobal.com.

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